

MEMO

To: Ritu Deshpande, Head of D2C Operations **Re:** Returns model: what it can and cannot do

The decision

Do not hold orders. Phone the risky ones before dispatch instead. A Rs 45 confirmation call prevented about 35% of returns in the spring pilot. A call on an order with a 30% chance of coming back is worth about Rs 75 net; a hold is not. Three in four flagged orders would never have been returned, and held orders are cancelled by the customer 12% of the time, so a hold mostly risks good sales.

The number: 95% accuracy is not possible, and I would not promise it

- **Only 11 in 100 orders are returned.** A “nothing comes back” rule is already 88.6% accurate. The best honest model reaches about 89.5%.
- **A 95%+ figure is available, but it is cheating.** The export includes the reverse-pickup booking and service event, which exist only after the customer has already asked to return. Using them gives 98.7% accuracy and is worthless at dispatch, because those fields are empty on the orders you are trying to judge. I excluded them.
- **What the model does well is ranking.** Tested on the most recent quarter it had never seen, the riskiest 10% of orders were returned 43% of the time, nearly four times the average. Of every 100 flagged orders, about 25 come back. It misses about a third of returns.

The rupees

Returns cost about Rs 92,000 a month (80 returns at Rs 1,150), roughly Rs 11 lakh a year. Calling the 31% of orders the model flags saves about Rs 12,000 a month net of call costs, about Rs 1.5 lakh a year. That is modest, and it depends on the 35% pilot figure holding: at 25% the saving halves, and at 15% it is zero. Calling everyone earns about Rs 1,000 a month, so the model’s value is in choosing whom to call.

Per month, about 700 orders	Calls	Returns prevented	Net saving
Do nothing	0	0	Rs 0
Call every order	700	about 28 of 80	about Rs 1,000
Call only orders the model flags	about 220	about 19 of 80	about Rs 12,000
Hold the riskiest 10%	about 70	few	loses money if margin > Rs 880

What the model looks at

Cash on delivery (18.8% returned vs 7.7% for UPI), customers with earlier returns (a customer with two earlier returns comes back 41% of the time), long promised delivery times, deeper discounts, robot vacuums, and Shield membership (18.6% vs 9.4%). Shield members are 41% of the flagged orders against 22% of all orders, so calls, which are friendly, are the right tool for them, not holds.

What to do next week

- **Tell the board the target is Rs 12,000 a month saved, not 95% accuracy.** Ask Farhan to confirm the 35% pilot effect and to give the margin on a lost sale.
- **Run the calls as a two-week test:** flagged orders called, a random tenth of flagged orders left uncalled, and compare returns. This replaces an uncertain pilot number with a measured one.
- **Fix the data feed:** October order values are stored 100 times too high, and walk-in orders have no address.

Caveats: the model is tested only on past quarters, so the real result for July–September 2026 may differ. The Rs 1,150 return cost is Farhan’s policy figure; at your Rs 600 estimate the savings shrink sharply, because a Rs 45 call is then a bigger share of what a return costs.